

Chapter 12

Invest in Index Funds and Understand the 4% Rule

"Investing is not nearly as difficult as it looks. Successful investing involves doing a few things right and avoiding serious mistakes." –

John Bogle

Many people think investing is difficult. I certainly did, and it led me to follow bad advice and make expensive mistakes that lengthened my journey to FI. People assume being a good investor requires considerable skill and effort. You have to research the best stocks, bonds, ETFs, or mutual funds, then you have to know when to buy and when to sell them. If you don't know how, you have to find a smart, talented, highly educated advisor to hold your hand or do it for you. All of this is wrong!

If you select the simple path and choose to invest in index funds, you don't need to have specific skills or apply much ongoing effort. In fact, thinking you can improve investment results by developing your investment skill is likely to do you more harm than